IX. CONDITIONS OF EMPLOYMENT

a. Coverage and Exemptions

GR: Title I, Book III of the Labor Code dealing with hours of work, weekly rest periods, holidays, service incentive leaves and service charges, covers all employees in ALL establishments

XPNS: (Title I, Book III of the Labor Code ONLY)

1. Government employees or any of its political subdivision and goccs with original charters
2. **Managerial employees and members of the managerial staff**
   - Primary duty consists of the management of the establishment in which they are employed or of a department or subdivision
   - They exercise independent judgment and discretion

   Members of the managerial staff (supervisory employees)
   - Exempted from the coverage if the following are their duties:
     a. Primary duty - consists in the performance of work directly related to management policies of their employer
     b. Customarily and regularly exercise discretion and independent judgment
     c. Regularly and directly assist a (management of the proprietor establishment) execute under general supervision, work along specialized or technical lines requiring special training.
     d. They do not devote more than 20% of their hours worked in a workweek to activities which are not directly and closely related to the performance of the work described above

   Test of Supervisory or Managerial Status

   depends on whether a person possesses authority that is not merely routinary or clerical in nature but one that requires use of independent judgment
3. **Field personnel** - Refer to non-agricultural employees who regularly perform their duties away from the principal place of business or branch office of the employer and whose actual hours of work in the field cannot be determined with reasonable certainty
   a. Non-agricultural employees who regularly perform their duties away from the principal place of business or branch office of the er
   b. and whose actual hours of work in the field cannot be determined with reasonable certainty
4. **Members of the family of employer who are dependent upon him for chief support**
   a. Exempted from the coverage, for the support given by the employer may exceed the benefit for which an employee is entitled under appropriate labor provisions.
   b. Evil sought to be prevented- may create labor problems that would break up the family
5. **Domestic helpers**
   a. Those in the personal service of another
   b. Employer's home
   c. Usually necessary desirable for the maintenance and enjoyment thereof
   d. Minister to the personal comfort, convenience, or safety of the employer as well as members of his households
   e. Employment of house helper in commercial, industrial and agricultural enterprises entitles them to salary and benefits provided under the labor code
6. **Workers paid by result**

a. On piece rates or task basis - Task basis-payment if on the completion of the work
b. Compensation is based on the work completed and not on the time spent in working
c. Unsupervised-pakyao and takay basis
d. Piece rate- garment factories - work is done in employer's premises
e. Pakyao an takay - in agricultural industry-work is performed in bulk or in volumes which is difficult to quantify

b. Normal Hours of Work
- Telecommunicating Arrangement (RA No. 11165)
- Flexible Work Arrangement (DA No. 2, series of 2004, DA No. 2, series of 2009 and DA No. 9, series of 2020)
- Hybrid Work Arrangement
- Suspension of Work in the Private Sector by reason of Natural or Man-Made Calamity

Normal hours of work
- ✓ Shall not exceed 8 hours a day
- ✓ To safeguard the health and welfare OF THE LABORER

NORMAL HOURS OF WORK

- 8 hours a day
- Minimizes unemployment by forcing employers to utilize different shifts of employees

Compressed work week - DOLE encourages employers and workers to enter into voluntary agreements adopting it
- To promote business competitiveness and productivity, improve efficiency by lower operating costs and reduce work-related expenses of employees
- An alternative arrangement = normal working week is reduced to less than 6 days but total working hours remains at 48 hours

Conditions of a valid CWW scheme
1. Expressly and voluntarily supported by majority of the employees affected
2. If work is hazardous, a certification is needed from an accredited safety organization or the firm's safety committee that work beyond 8 hours is within the limits or level of exposure set by DOLE's occupational safety and health standards
3. Should not result in diminution of benefits
4. The DOLE is duly notified

HOURS OF WORK INCLUDE:
1. All the time which an employee is required to be on duty or to be at a prescribed workplace
2. All time during which an employee is suffered or permitted to work
3. Rest period of short duration not exceeding 20 minutes
4. Meal periods of less than 20 minutes are only rest periods and thus considered as hours of work

Principles in determining hours worked:

1. All hours required to give to the employer whether productive labor or mental exertion
2. Employee need not leave his workplace for rest periods
3. If work benefited or is necessary to the er
4. No replacement
5. Inactive by reason of interruptions beyond his control

Waiting Time

- ♣ Waiting time spent by an employee shall be considered as working time if waiting is an integral part of his work or the employee is required or engaged by the employer to wait. (Section 5[a], Rule I, Ibid.)
- ♣ An employee who is required to remain on call in the employer's premises or so close thereto that he cannot use the time effectively and gainfully for his own purpose shall be considered as working while on call. An employee who is not required to leave word at his home or with company officials where he may be reached is not working while on call.
- ♣ Employees who are "on-call" but are required to remain in or near the work premises, respond to calls within a short timeframe, or refrain from personal activities that would prevent them from responding promptly are generally considered to be working during their on-call hours. Merely being on the employer's roster of potential responders without any immediate requirement to remain in a specific place or state of readiness may not, by itself, constitute compensable waiting time. It is the level of restriction on the employee's freedom that matters.

PRELIMINARY & POSTLIMINARY ACTIVITIES (COMPENSABLE TIME)

1. Controlled or required by employer; AND
2. Are pursued necessarily and primarily for the employer's benefit.

Arica v. NLRC
(GR No. 78210, Feb. 28, 1989)

The 30-minute assembly time practiced by the employees of the company cannot be considered as "waiting time" since they are not subject to the absolute control of the company during this period, otherwise, their failure to report in the assembly time would justify the company to impose disciplinary measures.

Travel time

1. From home to work –
   GR: not compensable
   XPN:
   1. Where the worker is made to work on an emergency call and travel is necessary in proceeding to the workplace;
   2. Travel is done through a conveyance provided by the employer;
   3. Travel is done under the supervision and control of the employer; and
   4. Travel is done under vexing and dangerous circumstance;
2. Travel in all day's work – compensable (part of principal activity)
3. Travel away from home – compensable If it cuts across an employee's workday because it substitutes for the hours that the employee should have been in the office.

Power Interruption

1. First 20 MINUTES is COMPENSABLE;
2. Succeeding minutes NOT COMPENSABLE;
3. If despite the lapse of the 1st 20 minutes, the employees are required to stay in the workplace, such time is COMPENSABLE.

SEMESTRAL BREAK OF TEACHERS

- ✓ Apply to regular employees only.
- ✓ Considered as an interruption of work beyond their control

WEBINAR

NOT COMPENSABLE IF:

1. Attendance is OUTSIDE of the employee's regular working hours;
2. Attendance is in fact VOLUNTARY;
3. Employee does not perform any productive work during such attendance.

ATTENDANCE IN LABOR RELATIONS ACTIVITIES

1. CBA negotiations
   GR: Not compensable
   Except:
   - There is an agreement for compensation
   - Established practice
   - Done during regular hours
2. Grievance Meeting
   GR: Compensable
   Except: CBA practice of policy stating otherwise

Hearing, arbitration, conciliation =Not compensable
Strikes = Not compensable except if there is an agreement allowing compensation

WORK HOURS OF SEAMEN

- Entitlement to OT is whether they actually rendered work considering that they to stay on board the whole day.

c. Meal Periods

- ➢ GR: employees are entitled to at least 1 hour time - off for regular meals which can be taken inside or outside company premises.
- ➢ Can be freely and effectively use this hour not only for eating but also for their rest and comfort which are conducive to more efficiency and better performance in their work.
- ➢ Employer can prescribe a shorter meal period of at least 20 minutes in the ff:
  - Work is non manual in nature or does not involve strenuous physical exertion
  - Establishment regularly operates not less than 16 hours a day
  - In cases of actual or impending emergencies or there is urgent work to be performed on machineries, equip or installation to avoid serious loss which the er would otherwise suffer
  - Work is necessary to prevent serious loss of perishable goods
- ➢ Coffee breaks running from 5-20 minutes are considered as compensable working time
- ➢ Rules
  - Should not be less than 60 minutes
  - May be less than 60 minutes but should not be less than 20 min
  - No meal periods meals for Overtime - for short period of time only
  - Shortened meal periods at the request of the er
    - So employees can leave work early
    - Not compensable if:
      - EE voluntarily agrees in writing and waive OT pay

- No diminution in salary and benefits
- Work is not physically strenuous
- Provided with coffee breaks in am and pm
- OT is demandable if works beyond 430
- Temporary in nature

d. Night Shift Differential

- Not less than 10% of his regular wage for each hour of work performed between 10pm to 6 am.
- Purpose: to give premium to night work when an employee is supposed to be sleeping
- Working at night is more strenuous and onerous
- All are entitled, except:
  - Govt employees
  - Employees of retail and service establishments regularly employing not more than 5 workers
  - Domestic Helpers
  - Persons in the personal service of another
  - Managerial employees and members of the managerial staff
  - Field personnel whose performance is unsupervised
  - Workers on a purely commission basis
  - Members of the family of the employer

Basic pay/8 hours x 110% x hours
Receipt of OT does not preclude payment of night shift diff

e. Overtime Work

- Encourage employers to dispense with such work providing employees an opportunity to satisfy their metal, moral and spiritual needs
- beyond 8 hours
- 25%-regular days
- 30%-holidays or rest days
- OT must be actually performed
- If emp contract provides for 12-hour work hours, is employee entitled to OT?

f. Undertime not offset by overtime

- Undertime shall not be offset by OT
- Against public policy
- Remedy: deduct it from the accrued leave but pay OT
- Will destroy regular working schedules
- Will circumvent the law on payment of premiums or rest day and holiday work
- EMERGENCY OT

g. Weekly Rest periods

- Not less than 24 hours after every 6 normal work days
- Er shall determine and schedule the weekly rest day subject to CBA.

- But employer shall respect the preference of employees as to week day if such is based on religious grounds
- Worker needs to rejuvenate and revitalize his lost energy in order to raise the state of his output

Employer may require work on a rest day:

1. Actual/pending emergencies-caused by serious accident, fire, flood typhoon, earthquake
2. Urgent work to be performed on the machinery/equipment to avoid serious business losses
3. Abnormal pressure of work and er has no other measures
4. Prevent loss or damage to perishable goods
5. Under other circumstances
6. Nature of work requires continuous operations and the stoppage of work may result in irreparable injury or loss to the er

Work on a rest day is a voluntary undertaking
- express desire to work in writing
> +30% of his regular wage

Premium pay or differential compensation - an additional pay granted to a covered employee for services rendered on holiday or rest day

> Paid for extra work performed outside the normally scheduled daylight working hours or at other personal inconvenience to the employee
> If Sunday is rest day-entitled to premium pay
> If rest day fall on a holiday = 50%

h. Holiday Pay (REGULAR HOLIDAY)

- Except in retail and service establishments regularly employing less than 10 workers
- 200% of his regular compensation
- Legal holiday - day designated or set apart by the legislature for a purpose within the meaning of the term holiday in order to commemorate an important event
- Purpose: to secure payment of undiminished monthly income undisturbed by any work interruption
- Employee who does not report for work during regular holidays is paid 100%/ Employee reports for work= 200%

NOTE: SPECIAL NON-WORKING:

- Employee who does not report - not entitled to any compensation
- Employee reports = +30%
- If rest day also- +50%

RULES:

SINGLE HOLIDAY RULE

- Employee should:
  - a) Worked
  - b) Was on leave with pay or
  - c) Was on authorized absence on the day prior to the regular holiday

SUCCESSIVE REGULAR HOLIDAYS

- To be entitled to 2 successive holidays, the employee must:
  - a) Must be present on the day immediately preceding the 1st holiday or
  - b) Be on leave with pay
- Otherwise, he must work on the 1st holiday to be entitled to holiday pay on the 2nd regular holiday

WED	THURS	FRI	ENTITLED
PRESENT	REST DAY	REG HOLI	YES
ABSENT W/PAY	REST DAY	REG HOLI	YES
AB W/O PAY	REST DAY	REG HOLI	NO
PRESENT	SP DAY	REG HOLI	YES
AB W/PAY	SP DAY	REG HOLI	YES
W/OPAY	SP DAY	REG HOLI	NO

SUCCESSIVE HOLIDAY RULE			
PRESENT	REG HOLI	REG HOLI	YES BOTH
ABS W/PAY	REG	REG	YES BOTH
ABSW/O PAY	REG	REG	NO BOTH
ABSW/O PAY	WORKED	REG	YES BUT ONLY TO THE HOLIDAY PAY ON FRIDAY

i. Service Incentive Leave

- Every employee who has rendered at least 1 year of service (12 months of service, whether continuous or broken) shall be entitled to a yearly incentive leave of 5 days with pay
- Does not apply to those with vacation leave with pay
- Does not apply to establishments with less than 10 employees

Purpose: to afford the laborer a chance to get a much-needed rest to replenish his worn-out energies and acquire a new vitality to enable him to efficiently perform his duties and not merely to give him additional salary

- If unused at the end of the year = convertible to cash based on the salary rate at the date of commutation
- Vacation leave is not mandatory = only thru voluntary agreement

- When VL and SL are accorded=becomes a matter or right and not a mere privilege =commutation to cash can be demanded
- Pakyaw/task basis if unsupervised=not entitled to SIL
- Domestic worker = entitled but unused cannot be commuted to cash
  - Prescriptive period of SIL = money claims = 3 years from the time the cause of actions accrued
- Leaves pursuant to CBAs and other laws:
  - Designed as replacements for regular income which otherwise would not be earned because an employee is not working during the said leaves

- Expanded Maternity Leave (RA No. 11210);

  - availed of by a woman employee, married or unmarried
  - To undergo and recuperate from childbirth or miscarriage
    - female SSS members
    - Qualification:
      - paid at least 3 monthly contributions within the 12-month period immediately preceding the semester of her childbirth or miscarriage
      - notified SSS of her pregnancy and employer or submitted the maternity notification directly to SSS-if unemployed

- Parental Leave for Solo Parents (RA 8972 as amended by RA 11861)

- 7 days solo parent leave
- Those who fall:
  A. A woman who gives birth as a result of rape and other crimes against chastity even without a final conviction of the offender, provided that the mother keeps and raises the child
  B. Parent left solo or alone with responsibility of parenthood due to the ff:
     - Death of spouse
     - Spouse is detained or is serving sentence for a criminal conviction for at least 1 year
     - Due to physical and or mental incapacity as certified by a medical practitioner
     - Due to legal separation or de facto separation for at least 1 year, has custody of the child
     - Declaration of nullity or annulment of marriage-custody of the child
  C. Unmarried mother / father-preferred to keep and rear her / his children
  D. Person who solely provides parental care and support to a child or children
  E. Family member who assumes the responsibility of head of family as a result of death, abandonment, disappearance or prolonged absence of the parents

- Conditions for entitlement:
  - Has rendered at least 1 year of service
  - Notification of er of the availment within a reasonable period of time
  - Has solo parent ID and presented to employer
  - Not convertible to cash if unavailed of
  - If er already provides the same benefit under a company policy = credited as such and the greater benefit such prevail

- Leave for Victims of RA 9262;

  BATTERED WOMAN LEAVE (R.A. NO. 9262-ANTI-VIOLENCE AGAINST WOMEN AND THEIR CHILDREN ACT OF 2004)

  - Female employee who is a victim of violence (physical, sexual, psychological)
  - Paid leave of 10 days

- Extendible when necessary
- Must submit a certification from the punong barangay, kagawad, prosecutor or clerk of court that an action under RA 9262 has been filed and is pending
- Er who refuses-penalized under the Labor Code
- Availed to attend to medical and legal concerns
- Not convertible to cash

- Special Leave for Women (RA 9710);

  - Women employee in the private sector, regardless of age and status- entitled to leave of 2 months with full pay based on gross monthly compensation
  - Due to surgery caused by gynecological disorders under the ff: - rendered at least 6 months continuous employment service for the last 12 months prior to surgery If extended leave is necessary- employee may use her earned leave credits - cannot be converted to case
  - Gynecological disorders = require surgical procedures like hysterectomy, mastectomy (dilation and curettage of female organs)
  - Can be availed of for a maximum of 2 months per year
  - Different from SSS sickness benefit
  - Cannot be taken from existing leaves
  - If woman undergoes surgery due to gynecological disorder during maternity leave, she is entitled only to the difference between the special leave and maternity leave benefits
  - Pay shall be based on her prevailing salary at the time of surgery

- Leave of Absence and Entitlement During the Covid-19

  In CSC Resolution No. 2101122 dated 31 December 2021, circularized through CSC Memorandum Circular No. 2, s. 2022 dated 18 January 2022, absence from work for every instance of the required quarantine period, isolation, and/or treatment for government workers who are "infected or identified as close contacts of a suspect, probable, and/or confirmed cases of COVID-19 while in the performance of their official functions, (onsite or WFH arrangement)" shall be considered as excused absence. They may be required to adopt a work-from-home arrangement depending on the nature of their work pursuant to the guidelines on alternative work arrangements contained in CSC M.C. No. 18, s. 2020.

  Guidelines on the Implementation of Flexible Work Arrangements as Remedial Measure Due to the Ongoing Outbreak of COVID- 19[10]

  The effectivity and implementation of any of the flexible work arrangements shall be temporary in nature, subject to the prevailing conditions of the company.

  Options for Flexible Work Arrangements
  1.Reduction of Workhours and/or Workdays - normal workhours or

workdays per week are reduced.
2.Rotation of Workers - employees are rotated or alternately provided work within the week.
3.Forced Leave - employees are required to go on leave for several days or weeks utilizing their leave credits, if any.

Requirements:

1.Prior consultation and due notice.
2.The terms must be acceptable to both the employer and employees.
3.Posting a copy of the Advisory in a conspicuous location in the workplace. 4.Notify the DOLE through the Regional / Provincial / Field Office which has jurisdiction over the workplace.

VACATION AND SICK LEAVE

- Matter of management prerogative of CBA
- Not statutorily required
- GR: non-commutative. Must be enjoyed within 1 year
- Exception: when the labor contract or the established practice of the employer provides otherwise

▪ Paternity Leave (RA 8187);
Coverage and Eligibility a
a. Who are entitled?

➢ Married Male Employees: Only legally married, male employees are eligible. The law does not cover common-law partners or live-in arrangements without a valid marriage contract. .Private Sector and Public Sector Employees: It covers married male employees in both private establishments and government offices. .Regular and Non-Regular Employees: There is no distinction in terms of employment status. Whether the male employee is on probationary, regular, contractual, or casual status, he is entitled to paternity leave as long as the conditions are met. .Local or Overseas Employment: The law makes no express exclusion based on work location. Thus, a married male employee working in the Philippines is covered. Meanwhile, government employees also enjoy the same benefit under relevant Civil Service rules.

Conditions for Availment:

➢ Legitimate Spouse's Delivery or Miscarriage: The entitlement arises upon the birth or miscarriage of the employee's legitimate spouse.
➢ Notification to Employer: The employee must notify his employer of his wife's pregnancy and the expected date of delivery within a reasonable period. Advance notice is crucial for planning and management. While the law itself is silent on the exact timing, the Department of Labor and Employment (DOLE) encourages prompt and early notice.
➢ Employment at the Time of Birth/Miscarriage: The employee must be employed at the time the child is born or when the miscarriage

occurs.

Duration and Number of Times Availment is Allowed

a. Duration:

The law grants seven (7) calendar days of paternity leave with full pay. These seven days are intended to be consecutive calendar days, not working days.

b. Limitation on Frequency:

A married male employee can avail of the paternity leave for the first four (4) deliveries or miscarriages of his legitimate spouse.

This can be summarized as follows:

1st child: Eligible
2nd child: Eligible
3rd child: Eligible
4th child: Eligible
5th and subsequent children: No longer covered by the paternity leave benefit

Miscarriages (including deliveries of stillborn children) are counted as part of these four availments.

Coordination With Other Leaves

Paternity Leave Is a Separate Benefit: Paternity leave is a benefit separate and distinct from the employee's other leave entitlements (such as service incentive leave under the Labor Code, vacation leaves, or sick leaves provided by company policy or collective bargaining agreements).

Non-Convertible to Cash: If unused, paternity leave cannot be converted to its cash equivalent. Unlike some accrued leave benefits that can be monetized upon separation or year-end, unused paternity leave simply lapses.

j. Service Charges, RA No. 11360, DO No. 242-24

- service charges/fees collected by hotels, restaurants and similar establishments
- all employees are covered regardless of position or status
- POOLED TIPS
  - Does not collect service charges
  - Practice of pooling tips given voluntarily by customers
  - Distributed in the same manner as service charges

- Distribution of Service Charges
  - 1.100% Distribution to Employees:
    - Under R.A. No. 11360, the total amount of service charges collected must be distributed in full (100%) to all covered rank-and-file employees. Management no longer retains any percentage.
  - 2. Equitable Sharing Mechanism:
    - 1. The law and its implementing rules encourage a fair and reasonable distribution scheme. All covered employees who contribute to the overall customer service experience are entitled to a share.
    - 2. In the absence of an existing or collectively bargained agreement, the default method is to distribute the service charges proportionately to the number of hours worked or the basic wage structure, ensuring that all employees who had contributed to the operations during the period that the charges were collected receive a fair portion.

- 3. If there is an established agreement, such as a Collective Bargaining Agreement (CBA) or a company policy known to employees, that sets a specific distribution method, that agreement governs-provided it mets the full distribution requirement.

1.Frequency of Distribution:

1. Service charges must be distributed not less than once every two (2) weeks or twice a month at intervals not exceeding sixteen (16) days.
2. Employers must integrate the distribution schedule seamlessly into the payroll process, ensuring transparency and timely remuneration.

2.Transparency and Record-Keeping:

1. Employers are required to keep detailed records of the total service charges collected and the corresponding distribution to employees.
2. Establishments must make a full accounting of service charges received available to employees, ensuring transparency and preventing disputes.
3. Employees or their representatives may examine these records at reasonable times to verify accurate distribution.

Auto Bus Transport Systems, Inc. v. Bautista, G.R. No. 156367, 16 May 2005

We are not persuaded. At this point, it is necessary to stress that the definition of a "field personnel" is not merely concerned with the location where the employee regularly performs his duties but also with the fact that the employee's performance is unsupervised by the employer. As discussed above, field personnel are those who regularly perform their duties away from the principal place of business of the employer and whose actual hours of work in the field cannot be determined with reasonable certainty. Thus, in order to conclude whether an employee is a field employee, it is also necessary to ascertain if actual hours of work in the field can be determined with reasonable certainty by the employer. In so doing, an inquiry must be made as to whether or not the employee's time and performance are constantly supervised by the employer.

As observed by the Labor Arbiter and concurred in by the Court of Appeals:
It is of judicial notice that along the routes that are plied by these bus companies, there are its inspectors assigned at strategic places who board the bus and inspect the passengers, the punched tickets, and the conductor's reports. There is also the mandatory once-a-week car barn or shop day, where the bus is regularly checked as to its mechanical, electrical, and hydraulic aspects, whether or not there are problems thereon as reported by the driver and/or conductor. They too, must be at specific place as [sic] specified time, as they generally observe prompt departure and arrival from their point of origin to their point of destination. In each and every depot, there is always the Dispatcher whose function is precisely to see to it that the bus and its crew leave the premises at specific times and arrive at the estimated proper time. These, are present in the case at bar. The driver, the complainant herein, was therefore under constant supervision while in the performance of this work. He cannot be considered a field personnel

We agree in the above disquisition. Therefore, as correctly concluded by the appellate court, respondent is not a field personnel but a regular employee who performs tasks usually necessary and desirable to the usual trade of petitioner's business. Accordingly, respondent is entitled to the grant of service incentive leave.